Chapter summary

Familiarising yourself with **items in green** is important for effective revision.
Paying attention to items in the boxes is helpful for understanding the concept(s).

5.1 Introduction to Factors of Production

- **Factors of production** are inputs used to produce goods and services.
  - Natural resources: land
  - Man-made resources: capital
  - Human resources: labour and entrepreneurship

5.2 Land

- **Land** refers to all **natural resources used in production**. It is a gift of nature.
- The return on land is called **rent**.
- Characteristics of land:
  - No cost of production is involved in land's existence
  - Supply of land could not be increased by human efforts
  - Land becomes capital when moved by human efforts

- Land is not a free good when the quantity of land is not sufficient to satisfy all human wants.
- Using land may involve opportunity cost.

5.3 Capital

- **Capital** is the **man-made resource used in production**.
- The return on capital is called **interest**.

Capital can be tangible (e.g. machines) or intangible (e.g. knowledge).

Characteristics of capital

- Use of capital can increase the productivity of other factors of production,
- Increase in capital forgoes present consumption for future consumption.

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Change in the stock of capital goods

$$\text{Change in stock of capital goods} = \text{Capital formation} - \text{Depreciation}$$

- **Capital formation** (also called **investment**) refers to the production of capital goods.
- **Depreciation** (also called **capital consumption**) refers to the reduction in the stock of capital goods resulting from wear-and-tear and obsolescence in production.

Capital accumulation

- **Capital accumulation** refers to a net increase in the stock of capital goods.
- It involves giving up present consumption for future consumption.
- Interest rate ↑ (↓),
  → cost of financing investment ↑ (↓)
  → amount of investment ↓ (↑)
  → amount of capital accumulation ↓ (↑)



Capital accumulation can be negative, when the amount of capital formation is smaller than that of capital consumption.

5.4 Labour

Supply of labour

- **Labour** is the **human effort, both mental and physical, used in production**.
- The return on labour is called a **wage**.
- **Labour supply** is measured in terms of the total number of working hours that workers provide (i.e. total **man-hours**) per time period.

$$\text{Labour supply} = \text{Number of workers employed} \times \text{Number of working hours per worker}$$

- Factors affecting labour supply:
  - Size of population
  - Population structure
  - Number of working hours
  - Monetary rewards and future prospects
  - Government policies

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Productivity of labour

- **Average labour productivity** is the amount of output per man-hour (per worker per unit of time).

$$\text{Average labour productivity} = \frac{\text{Amount of output (units)}}{\text{Labour supply}}$$

$$= \frac{\text{Amount of output (units)}}{\text{Number of workers employed} \times \text{Number of working hours per worker}}$$

Average labour productivity is the amount of output per man-hour instead of per worker.

- Factors affecting labour productivity:
  - Education and training
  - Working conditions
  - Rewards and benefits
  - Technology level of producer goods
  - Methods of organising and managing labour
  - Health of workers

Mobility of labour

- **Occupational mobility** refers to the **ability and willingness of a factor of production to change from one occupation to another**.
- Factors affecting the occupational mobility of labour:
  - Monetary and non-monetary rewards
  - Skill requirements
  - Entry barriers and professional body restrictions
  - Retraining programmes
  - Labour market information
- **Geographical mobility** refers to **the ability and willingness of a factor of production to move from one place to another**.
- Factors affecting the geographical mobility of labour:
  - Transportation costs
  - Economic and political conditions
  - Immigration and emigration policies
  - Labour market information

Occupational mobility of labour will be lower with a greater degree of specialisation as workers lack skills required by other jobs.

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Wage payment methods

- **Piece rate**:
  - The calculation of wages is based on the quantity of output workers produce.
  - There are some possible advantages and disadvantages of the piece rate scheme:

Possible advantages	Possible disadvantages
To the employer: • Labour productivity will be higher. • Workers have stronger incentive to work hard. • The cost of supervising workers is lower. • Production costs are easier to control.	**To the employer:** • The cost of monitoring output quality is higher. • The cost of calculating wages is higher.
To the employee: • Employees can earn more by working harder.	**To the employee:** • Employees' incomes are less stable.

- **Time rate**:
  - The calculation of wages is based on the amount of time that a worker works.
  - There are some possible advantages and disadvantages of the time rate scheme:

Possible advantages	Possible disadvantages
To the employer: • It is easier to maintain a static team. • The cost of measuring workers' output is lower. • The cost of monitoring output quality is lower.	**To the employer:** • Workers tend to be less hard-working and have weaker incentive to work hard. • The cost of supervising workers' performance is higher.
To the employee: • Employees can earn a more stable income.	**To the employee:** • Employees cannot earn more even if they work harder.

- **Basic salary plus commission**:
  - Workers receive regular basic salaries and performance-based commission.
  - There are some possible advantages and disadvantages of the basic salary plus commission scheme:

Possible advantages	Possible disadvantages
To the employer: • Workers have stronger incentive to work hard. • The cost of supervision is lower.	**To the employer:** • The cost of assessing workers' performance and measuring workers' output is higher.
To the employee: • The basic salary safeguards the basic livelihoods of employees. • Employees can earn more by working harder.	**To the employee:** • Employees' incomes are less stable.

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- **Profit-sharing scheme**:
  - Wages are calculated based on a given percentage of the company's profit.
  - There are some possible advantages and disadvantages of the profit-sharing scheme:

Possible advantages	Possible disadvantages
To the employer: • Workers have stronger incentive to work hard. • The cost of supervision is lower. • Part of the business risk is shared by workers.	**To the employer:** • The cost of calculating wages is higher.
To the employee: • Employees can earn more by performing better.	**To the employee:** • Employees' incomes are less stable. • Employees have to share part of the business risk.

- **Tips**:
  - Tips are a gift of money paid directly by a customer to someone who provides services.
  - There are some possible advantages and disadvantages of the tips scheme:

Possible advantages	Possible disadvantages
To the employer: • Workers have stronger incentive to work hard. • The cost of supervision is lower. • Part of the business risk is shared by workers.	**To the employee:** • Employees' incomes are less stable. • Employees have to share part of the business risk.
To the employee: • Employees can earn more by providing better services.	

5.5 Entrepreneurship

- **Entrepreneurship** refers to those human efforts that **make decisions and bear production risks**.
- The return on entrepreneurship is called **profit**.
- Roles of entrepreneurship:
  - Risk bearing
  - Decision making
  - Coordination and management of other factors of production



The general manager of a company is not an entrepreneur as he/she only makes decisions and does not bear risks in production.

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5.6 Factors of Production in Hong Kong

- Natural resources in Hong Kong
  - Hong Kong lacks natural resources.
  - There is insufficient land available for development.
  - Hong Kong has a superior harbour and is in an excellent location as a gateway to China.
- Man-made resources in Hong Kong
  - Hong Kong has well-developed infrastructure.
  - Hong Kong does not have foreign exchange control.
- Human resources in Hong Kong
  - The Hong Kong workforce is well educated.
  - Entrepreneurs in Hong Kong have good business sense and extensive business networks.

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